

TENTATIVE RULINGS

DEPARTMENT C33

Judge Sandy N. Leal

August 13, 2026 at 10:00 AM

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Tentative rulings: The Court endeavors to post tentative rulings on the Court's website in the morning, prior to the hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the Department for tentative rulings if tentative rulings have not been posted. The Court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5233. Please do not call the Department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the Court's signature if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If nobody appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.*, 205 Cal.App.4th 436, 442, fn. 1 (2012.))

Appearances: Department C33 conducts non-evidentiary proceedings, such as law and motion hearings, remotely by Zoom videoconference pursuant to Code of Civil Procedure section 367.75 and Orange County Local Rule 375. Any party or attorney, however, may appear in person by coming to Department C33 at the Central Justice Center, located at 700 Civic Center Drive West in Santa Ana, California.

All counsel and self-represented parties appearing in-person must check in with the courtroom clerk or courtroom attendant before the designated hearing time. All counsel and self-represented parties appearing remotely must check-in online through the court's civil video appearance website at <https://www.occourts.org/media-relations/civil.html> before the designated hearing time. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available at <https://www.occourts.org/media-relations/aci.html>. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also are available at <https://www.occourts.org/media-relations/aci.html>. Those procedures and guidelines will be strictly enforced.

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings. Members of the media or public may obtain access to law and motion hearings in this Department by either coming to the Department at the designated hearing time or contacting the Courtroom Clerk at (657) 622-5233 to obtain login information. For remote appearances by the media or public, please contact the Courtroom Clerk 24 hours in advance so as not to interrupt the hearings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

#	Case Name	Tentative
1	25-01518276 <i>Ortega vs. Santa Ana Unified School District</i>	Motion to Strike Portions Of Complaint Defendant Zully Rodriguez’s Motion to Strike Portions of the Complaint is GRANTED with 20 days leave to amend. The references to Rodriguez in paragraphs 33 and 65 and paragraph 6 of the prayer are ORDERED stricken. “In order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff.” (<i>Clauson v. Superior Court</i> (1998) 67 Cal.App.4th 1253, 1255.) Additionally, “[i]n passing on the correctness of a ruling on a motion to strike, judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth.” (<i>Ibid.</i>) A demand for punitive damages for the commission of any tort requires more than the mere allegation of the “oppression, fraud, and malice” language found in Civil Code section 3294. (See <i>Perkins v Superior Court</i> (1981) 117 Cal.App.3d 1, 6-7.) “[F]acts must be alleged in the pleading to support such a claim.” (<i>Grieves v. Superior Court</i> (1984) 157 Cal.App.3d 159, 166.) The facts alleged must show the defendant “act[ed] with the intent to vex, injure or annoy, or with a conscious disregard of the plaintiff’s rights.” (<i>Silberg v. California Life Ins. Co.</i> (1974) 11 Cal.3d 452, 462.) Section 3294, subdivision (c) defines malice, oppression and fraud as follows: “(1) ‘Malice’ means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. [¶] (2) ‘Oppression’ means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights. [¶] (3) ‘Fraud’ means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” Plaintiff’s allegations against Rodriguez are insufficient to support of claim for punitive damages. Plaintiff claims Rodriguez had violent outbursts toward Plaintiff, including yelling and calling Plaintiff stupid and arguing. These allegations do not show a conscious disregard for the rights and safety of others, thus it is not malicious or oppressive within the meaning of Section 3294. Additionally, the conduct alleged as to the school children does not support a claim for punitive damages as to Plaintiff. Plaintiff cites no authority which would allow her to claim punitive damages for conduct to those unrelated to her. Leave to amend is granted because it is not evident from the face of the complaint that it is unable to be amended. (See <i>City of Stockton v. Superior Court</i> (2007) 42 Cal.4th 730, 747.)

3	23-01365328 <i>Almaraz-Ramirez vs. Walmart Inc.</i>	1) Motion for Protective Order 2) Motion to Compel Deposition (Oral or Written) Defendant Walmart, Inc.’s Motion for Protective Order and Plaintiff Alicia Almaraz-Ramirez’s Motion to Compel the Deposition of Grisel (Grey) Granados are CONTINUED to . Defendant is ORDERED to file “Doctor’s Note re: Grisel Granados, attached at Exhibit B to the Declaration of Timothy J. Denham, Esq. in support of Defendant’s Motion for Protective Order” with the Court within 5 days of this order. The Court does not have the note counsel represented they would be filing confidentially. The Court deems the note necessary to the disposition of these Motions.
6	25-01493428 <i>Black Diamond Networks LLC vs. Linear Microsystems Inc</i>	Motion to Set Aside/Vacate Default Defendant Linear Microsystems, Inc.’s motion to set aside the default entered on January 28, 2026, is GRANTED. Defendant seeks discretionary relief from the default under Code of Civil Procedure Section 473, subdivision (b) which provides in pertinent part: “The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken.” Defendant’s authorized agent, Patricia Cocco, has submitted a declaration in support of the Motion. Cocco states on August 26, 2025, she learned that a process server had delivered legal documents for Defendant. (Cocco Decl., ¶ 2.) Cocco contacted attorney Mark T. Risner to resolve the matter informally but did not retain him to appear in court, accept service, or file a response. (Cocco Decl., ¶ 3.) On September 8, 2025, Risner informed Cocco he had contacted Plaintiff’s attorney and asked them not to take a default while the parties attempted to resolve the matter. (Cocco Decl., ¶ 4.) Over the following months, Plaintiff’s office continued sending courtesy notices to Risner, including notices on December 2, 2025, and January 15, 2026, which Cocco understood to mean the case was still active and that Plaintiff was not seeking a default. (Cocco Decl., ¶ 5.) On January 22, 2026, Cocco called Plaintiff’s office directly because she was trying to understand the amount Plaintiff was demanding and whether a payment plan was possible. (Cocco Decl., ¶ 7.) Cocco believed the matter was still being discussed and that Defendant would be allowed to respond once negotiations were concluded. (Cocco Decl., ¶ 9.) These facts are sufficient to show surprise and excusable neglect. Therefore, relief from default is warranted.

		Further, the application for relief is timely since the application was filed within 6 months of entry of default on 1-28-26 and default judgment on 2-17-26. (ROA 29, 47.) Therefore, the request to set aside the default and default judgment is GRANTED. <u>Attorney Fees and Costs:</u> Code of Civil Procedure section 473, subdivision (c)(1) states: “Whenever the court grants relief from a default, default judgment, or dismissal based on any of the provisions of this section, the court may do any of the following: [¶] (A) Impose a penalty of no greater than one thousand dollars (\$1,000) upon an offending attorney or party. [¶] (B) Direct that an offending attorney pay an amount no greater than one thousand dollars (\$1,000) to the State Bar Client Security Fund. [¶] (C) Grant other relief as is appropriate.” If relief from default is based on evidence other than “attorney affidavit of fault,” the court may in its discretion order the defendant to pay the costs, including attorney fees, incurred by the plaintiff in obtaining the default judgment. (<i>Rogalski v. Nabers Cadillac</i> (1992) 11 Cal.App.4th 816, 823; <i>Vanderkous v. Conley</i> (2010) 188 Cal.App.4th 111, 118-119.) Plaintiff requests reasonable attorneys’ fees and costs to defray costs incurred by Plaintiff to obtain the default and default judgment and to defend against this Motion. Defendant is ordered to pay \$1,200 in attorney fees and costs to Plaintiff. Defendant is ordered to file and serve the proposed Answer within 10 days of the notice of this ruling. To the extent, the parties have filed an Opposition and Reply to a Motion to Stay Enforcement of Default Judgment (ROA 56, 64), no moving papers in support of a Motion to Stay Enforcement of Default Judgment were filed with the Court. Moving Defendant to give notice.
7	25-01536474 <i>Bruce vs. South County Hospice, Inc.</i>	Motion to BRING ELDER ABUSE/NEGLECT ACTION Plaintiff Maria Bruce’s Petition to Bring Elder Abuse/Negligent Action in the Name of William Bruce Deceased is CONTINUED to _____. Shortly after Plaintiff filed the instant motion, Defendant South County Hospice, Inc. dba Cabrillo Hospice filed an answer to the complaint on 3/10/26. On 5/27/26, the court continued the hearing on this motion to the current date. While the clerk served Defendant’s counsel with notice of the new hearing date, there is no proof that Plaintiff ever served Defendant with the motion. California Rules of Court, rule 3.1300(c) requires that a

		proof of service of the moving papers be filed with the court no later than 5 court days before the date set for the hearing. No later than 5 court days before the continued hearing date, Plaintiff is ordered to file a proof of service of the motion.
9	24-01397104 <i>Doyle vs. Waldorf Astoria Monarch Beach & Resort Club</i>	Motion for Summary Judgment and/or Adjudication CONTINUED
10	24-01440278 <i>Hong vs. Mercedes-Benz USA, LLC</i>	Motion to Comply
11	26-01542892 <i>Hovarter vs. Monarch Heavy Haul Corporation</i>	Petition for Writ CONTINUED
12	25-01523245 <i>ICK International, Inc. vs. Jang</i>	Motion to Be Relieved as Counsel of Record The motion of attorney S. Young Lim and Jessie Y. Kim to withdraw as attorney of record for Defendant Byungchul Jang is GRANTED. (Code Civ. Proc. § 284, Cal. Rules of Court, rule 3.1362.) Attorneys will be relieved as counsel of record for client effective upon filing of a proof of service of the signed order on client. Additionally, prior to being relieved, counsel must provide Plaintiff's counsel with the last known address, telephone number, and email address of Jang. Moving attorneys are to give notice.
13	25-01461247 <i>Mike Bubalo Construction CO., Inc vs. Yorba Linda Water District</i>	1) Demurrer to Amended Complaint 2) Motion to Strike Portions Of Complaint Defendants Yorba Linda Water District, Reza Afshar, and Rosanne Weston's Demurrer to the Second Amended Complaint (SAC) is SUSTAINED without leave to amend. The 2nd cause of action requests a writ of mandate to withdraw or modify a performance evaluation. "The exhaustion of administrative remedies doctrine applies when there is an administrative remedy to questionable government action. It assures certain prerequisites are met before legal action is taken. Where an administrative remedy is provided by statute, relief must first be sought from the administrative body. This is a fundamental rule of procedure followed under the doctrine of stare decisis, and binding upon all courts. A court's intervention before an administrative agency has resolved the claim constitutes jurisdictional interference. Courts have no discretion to relax the exhaustion doctrine." (<i>Casa Blanca Beach Estates Owners' Assn. v. County of Santa Barbara</i> (2024) 102 Cal.App.5th 1303, 1308-1309 (<i>Case Blanca</i>) (cleaned up).) "An administrative decision is final, i.e., ripe, when the agency has exhausted its jurisdiction

and possesses no further power to reconsider or rehear the claim.” (*Id.* at 1309.)

As explained by this Court previously, allegations of requesting the same relief from the District itself does not meet the requisite showing that Plaintiffs have exhausted their administrative remedies. Plaintiffs must show they attempted to appeal the District decision to through the appropriate channels. Plaintiffs instead claim they repeatedly asked the District to change their mind about their own decision. (SAC, ¶¶ 66-77.) This is not an appeal. Further, this Court also previously explained failing to inform of the appellate rights was not sufficient to show the administrative procedure was effectively unavailable. (See *Foster v. Sexton* (2021) 61 Cal.App.5th 998, 1028.) Finally, Plaintiffs allegations do not fall within the exception to the exhaustion requirement due to improper screening. “For administrative remedies to be effectively unavailable due to improper screening, ‘the inmate must establish (1) that he actually filed a grievance or grievances that, if pursued through all levels of administrative appeals, would have sufficed to exhaust the claim that he seeks to pursue in ... court, and (2) that prison officials screened his grievance or grievances for reasons inconsistent with or unsupported by applicable regulations.’ ” (*Ibid.*) Plaintiffs have not shown any attempts to appeal for the District to have interfered with.

Accordingly, Defendants’ demurrer to the 2nd cause of action is sustained.

“A public employee acting in the scope of his employment is not liable for an injury caused by his misrepresentation, whether or not such misrepresentation be negligent or intentional, unless he is guilty of actual fraud, corruption or actual malice.” (§ 822.2.) “The immunity afforded by Government Code section 822.2 applies unless, in addition to the essentials of common law deceit, a public employee is motivated by corruption or actual malice, i.e., a conscious intent to deceive, vex, annoy or harm the injured party.” (*Curcini v. County of Alameda* (2008) 164 Cal.App.4th 629, 649.) “In addition to facts establishing the ordinary elements of common law deceit, the pleader also must allege facts showing that the fraud was motivated by corruption or actual malice.” (*Ibid.*)

Plaintiffs do not allege sufficient facts to support their claim because they do not establish Afshar and Weston were motivated by actual malice or corruption. Plaintiffs plead a generic claim that Defendants knew of material facts but failed to disclose them. They have plead no facts regarding their motivations and ask the Court to infer the motivation based on the result. The Court declines to find an intent to injure merely because a party was injured.

Thus, Defendants’ demurrer to the 4th and 5th causes of action is sustained.

“The burden of showing a reasonable possibility that amendment can cure the defect in a complaint rests squarely on the plaintiff, who must

		identify specific facts showing that the complaint can be amended to state a viable cause of action. But a court should deny leave to amend an initial complaint only rarely, when it appears conclusively that it is impossible to allege such facts.” (<i>Amy's Kitchen, Inc. v. Fireman's Fund Ins. Co.</i> (2022) 83 Cal.App.5th 1062, 1073.) Here, Plaintiffs have simply requested leave to amend. <u>Motion to Strike</u> Defendants Yorba Linda Water District, Reza Afshar, and Rosanne Weston’s Demurrer to the Second Amended Complaint (SAC) is granted in part and denied as moot in part. Defendants’ requests to strike allegations within the 2nd, 4th, and 5th causes of action are denied as moot due to the Court sustaining the demurrer as to those causes of action. Defendants’ requests to strike requests for relief in the prayer are granted because those requests rely on the causes of action subject to the demurrer. Paragraphs 5, 6, and 15 of the SAC’s prayer for relief are ORDERED stricken.
14	24-01382884 <i>Ortega vs. FCA US, LLC</i>	Motion to Compel Production CONTINUED
15	25-01514073 <i>River Street Marketplace LLC vs. Salem Engineering Group, Inc.</i>	Demurrer to Amended Complaint The general demurrer of defendant Salem Engineering Group, Inc., to all seven causes of action in the first amended complaint of plaintiff River Street Marketplace, LLC, is OVERRULED. Defendant is ordered to file an answer to the FAC within 20 days. Defendant’s request for judicial notice is DENIED. <u>Discussion.</u> Defendant demurs to all seven causes of action in the plaintiff’s first amended complaint and asks for judicial notice of four documents from governmental sources that have no bearing on the issues presented in the moving papers. Plaintiff opposes the motion. <u>The first cause of action for breach of written contract.</u> The first cause of action is for breach of the written contract that is attached to the FAC as Exhibit A. Defendant contends that this cause of action fails for several reasons, starting with an argument that the contract cannot be enforced because it is not signed by the parties. In fact, the agreement that is attached to the FAC as Exhibit A is not signed. In support of its argument, defendant cites <u>Banner Enterprises, Inc. v. Superior Court</u> (1998) 62 Cal.App.4th 348, 358. In that case, the court stated the following at pp. 357-358:

When it is clear, both from a provision that the proposed written contract would become operative only when signed by the parties as well as from any other evidence presented by the parties that both parties contemplated that acceptance of the contract's terms would be signified by signing it, the failure to sign the agreement means no binding contract was created. [Citation.] This is so even though the party later sought to be bound by the agreement indicated a willingness to sign the agreement. [Citation.] On the other hand, if the respective parties orally agreed upon all of the terms and conditions of a proposed written agreement with the mutual intention that the oral agreement should thereupon become binding, the mere fact that a formal written agreement to the same effect has not yet been signed does not alter the binding validity of the oral agreement. [Citation.]

Whether it was the parties' mutual intention that their oral agreement to the terms contained in a proposed written agreement should be binding immediately is to be determined from the surrounding facts and circumstances of a particular case and is a question of fact for the trial court. [Citation.] Evidence as to the parties' understanding and intent in taking what actions they did take is admissible to ascertain when or whether a binding agreement was ever reached. [Citations.]

Mutual intent is determinative of contract formation because there is no contract unless the parties thereto assent, and they must assent to the same thing, in the same sense. [Citation.] “It is essential to the existence of every contract that there should be a reciprocal assent to a definite proposition, and when the parties to a proposed contract have themselves fixed the manner in which their assent is to be manifested, an assent thereto, in any other or different mode, will not be presumed.” (Ibid., italics added.) Thus, the failure to reach a meeting of the minds on all material points prevents the formation of a contract even though the parties have orally agreed upon some of the terms, or have taken some action related to the contract. [Citations.]

Defendant contends that two sections of the written contract indicate that the parties intended that it only become effective if it is signed, sections 16 and 14. Section 16 ends with a statement that the agreement “will become effective on the date signed below.” Section 14 states that “[t]he persona signing this Agreement warrant that they have authority to sign on the behalf of the CLIENT or the CONSULTANT, as applicable.”

In opposition, plaintiff cites Vita Planning & Landscape Architecture Inc. v HKS Architects, Inc. (2015) 240 Cal.App.4th 763, 773 and Panterra GP, Inc. v. Superior Court (2022) 74 Cal.App.5th 697. In the first case, the court determined a contract existed between the parties notwithstanding the lack of signatures, stating as follows at p. 773:

The absence of signatures does not render the Contract unenforceable. On appeal, Vita concedes the parties “conducted themselves as though they had an agreement[.]” There is no dispute Vita performed pursuant to the Contract, and HKS accepted Vita's performance. A “*voluntary* acceptance of the benefit of a transaction is equivalent to a consent to all the obligations arising from it, so far as the facts are known, or ought to be known, to the person accepting.” [Citations.] Here, substantial evidence supports the court's conclusion regarding the existence of a contract memorialized by a writing. [Citation.]

Vita's reliance on Banner Entertainment, Inc. v. Superior Court [(1998) 62 Cal.App.4th 348] does not alter our conclusion. Banner held there is no binding contract when “it is clear, both from a provision that the proposed written contract would become operative *only* when signed by the parties as well as from any other evidence presented by the parties that both parties contemplated that acceptance of the contract's terms would be signified by signing it[.]” [Citation.] Here and in contrast to Banner, there is no such condition precedent in the Contract, nor any evidence the parties contemplated acceptance of the Contract “would be signified by signing it[.]” [Citation.]

(All emphasis in original.)

Here, sections 16 and 14 do not indicate that the contract would only become operative if the contract was signed. Furthermore, the FAC contains allegations showing that the parties performed under the contract.

Defendant also contends that plaintiff lacks standing to enforce the contract. However, this argument assumes that plaintiff is not a party to the contract, which assumption fails.

Defendant contends that plaintiff has not alleged with specificity how it breached the contract. To the contrary, paragraph 57 specifies exactly how defendant breached the contract, including, among other things, by failing to follow the geotechnical recommendations that it adopted for the project.

The first cause of action is sufficiently set forth and the demurrer is overruled.

The second cause of action for breach of implied-in-fact contract. Defendant contends that the second cause of action for breach of implied-in-fact contract fails because it does not allege the conduct by which the contract was formed. It contends that the cause of action is based on the express words of the written contract.

In the opposition, plaintiff contends that this cause of action is pled in the alternative to the first cause of action for breach of written contract,

in the event that the fact finder determines that no written contract was formed.

In addition, the second cause of action alleges that while the written contract was not formally executed by the parties, the parties “thereafter knowingly, voluntarily, and intentionally performed their respective obligations in accordance with the Contract’s material terms, including but not limited to [defendant’s] provision of geotechnical testing services and [plaintiff’s] reliance upon and payment for those services.” (FAC, ¶ 63.)

The second cause of action is sufficiently set forth and the demurrer is overruled.

The third cause of action for professional negligence. Defendant contends that the third cause of action for professional negligence fails because the FAC does not show that defendant owed plaintiff a duty of care. It also makes a passing argument based on the economic loss rule.

Contrary to defendant’s argument, plaintiff has clearly alleged that defendant owed it a duty of care. Specifically, plaintiff alleges that defendant engaged in the business of providing professional geotechnical engineering services and acted as the geotechnical consultant and soils engineer-of-record for the project owned by plaintiff. (FAC, ¶ 71.) Plaintiff alleges that, in this capacity, defendant owed it “a duty to exercise that degree of skill, care, and diligence ordinarily exercised by reasonably prudent geotechnical engineers practicing under similar circumstances in Orange County, California.” (FAC, ¶ 72.) Plaintiff further alleges that defendant also owed it “a duty to perform its services in accordance with applicable industry standards, governing geotechnical reports, Project requirements, and applicable provisions of the California Building Code.” (FAC, ¶ 73.)

The third cause of action is sufficiently set forth and the demurrer is overruled.

The fourth and fifth causes of action for negligent misrepresentation and concealment and intentional misrepresentation. The fourth and fifth causes of action both sound in fraud. The fourth is for negligent misrepresentation and concealment and the fifth is for intentional misrepresentation.

The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or “scienter”); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. Tenet Healthsystem Desert, Inc. v. Blue Cross of California (2016) 245 Cal.App.4th 821, 837.

In California, fraud must be pled specifically; general and conclusory allegations do not suffice. Tenet Healthsystem Desert, Inc. v. Blue Cross of California, supra, 245 Cal.App.4th at p. 837. Therefore, the policy

of liberal construction of the pleadings will not ordinarily be invoked to sustain a pleading defective in any material respect. Ibid. In addition, this requirement necessitates pleading facts that “show how, when, where, to whom, and by what means the representations were tendered.” Id. at pp. 837-383.

In addition, a plaintiff is held to a higher standard in asserting a fraud claim against a corporate defendant. Tenet Healthsystem Desert, Inc. v. Blue Cross of California, supra, 245 Cal.App.4th at p. 838. In such a case, the plaintiff must allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. Ibid.

The specificity requirement serves two purposes. Tenet Healthsystem Desert, Inc. v. Blue Cross of California, supra, 245 Cal.App.4th at p. 838. The first is to give notice to the defendant, i.e., to furnish the defendant with certain definite charges that can be intelligently met. Ibid. But also the pleading of fraud is the last remaining habitat of the common law notion that a complaint should be sufficiently specific that the court can weed out nonmeritorious actions on the basis of the pleadings. Ibid. Thus the pleading should be sufficient to enable the court to determine whether, on the facts pleaded, there is any foundation, prima facie at least, for the charge of fraud. Ibid.

Here, defendant contends that the fourth and fifth causes of action are not only not pled with specificity but that they do not set forth all of the elements, particularly the elements of misrepresentation, knowledge of falsity, and justifiable reliance.

To the contrary, plaintiff alleges in the fourth cause of action that, between April 2020 and March 2022, defendant “made material misrepresentations of fact to [plaintiff] concerning the testing, suitability, and regulatory compliance of soils for use on the Project, and concealed material facts relating to the absence of required testing.” (FAC, ¶ 79.) Plaintiff alleges three specific misrepresentations that defendant made to it, detailing the names and titles of the persons making the representations, the means by which the representations were made, the dates of the representations, the person to whom the misrepresentations, and the substance of the representations. (FAC, ¶ 80.) Plaintiff also alleges that the representations were false because, at the time of their making, defendant “had not conducted the required corrosivity and pH testing, and therefore lacked any reasonable factual basis to certify that the soil was suitable for unrestricted use or compliant with Project requirements.” (FAC, ¶ 81. See also ¶ 82.)

Plaintiff also alleges that it reasonably relied on defendant’s representations and omissions in approving and importing the soil and proceeding with the soil importation and construction. (FAC, ¶ 85.) It alleges that, had it known the true facts, it would not have authorized the importation of soil and would have required appropriate testing and remediation before proceeding with construction. (FAC, ¶ 86.)

Plaintiff's fifth cause of action is based on the same three representations as the fourth cause of action, but it also alleges here that defendant either knew that they were false when they made them or made them with reckless disregard for their truth because it had not done the underlying testing. (FAC, ¶¶ 89 and 90.) Plaintiff also alleges that defendant made these representations and omissions with the intent to induce its reliance, which included approving the importation of the soil, proceeding with construction, and retaining defendant's services. (FAC, ¶ 93.)

The fourth and fifth causes of action are sufficiently set forth and the demurrer is overruled.

The sixth causes of action for express contractual indemnity. The sixth cause of action is for express contractual indemnity and is based on the written contract that is attached to the FAC as Exhibit A.

Defendant contends that this cause of action fails because the written contract is unenforceable, referencing its arguments in support of the demurrer to the first cause of action for breach of contract. However, as previously discussed, defendant's challenge to the first cause of action fails.

The sixth cause of action is sufficiently set forth and the demurrer is overruled.

The seventh cause of action for equitable indemnity. The seventh cause of action is for equitable indemnity, and plaintiff alleges that it is an alternative to the sixth cause of action for express contractual indemnity.

Equitable indemnity requires no contractual relationship between the parties and is premised on a joint legal obligation to another for damages. C.W. Howe Partners Inc. v. Mooradian (2019) 43 Cal.App.5th 688, 700. The claim is subject to allocation of fault principles and comparative equitable apportionment of loss. Ibid.

The elements of a cause of action for equitable indemnity are (1) a showing of fault on the part of the indemnitor and (2) resulting damages to the indemnitee for which the indemnitor is equitably responsible. C.W. Howe Partners Inc. v. Mooradian, supra, 43 Cal.App.5th at p. 700.

Here, in the seventh cause of action, plaintiff alleges that it has been "exposed to or liable for claims and liability arising out of the Project, including claims asserted by third-parties, which are alleged to have resulted from the acts, errors, and omissions of [defendant]." (FAC, ¶ 105.) It alleges that, to the extent that is "found liable to any third party for damages arising out of the Project, such liability, if any, was caused in whole or in part by the wrongful acts, omissions, negligence, misrepresentations, or the fault of [defendant]." (FAC, ¶ 106.)

The seventh cause of action is sufficiently set forth and the demurrer is overruled.

17	25-01521687 Yang vs. Xu	Demurrer to Complaint Defendant Zheyuan Zhu’s Demurrer to the Complaint is SUSTAINED in part with leave to amend as to the 1st-3rd and 7th causes of action and OVERRULED in part as to the remaining causes of action. <u>Misrepresentation Causes of Action</u> Plaintiff’s 1st and 3rd causes of action allege Defendants misrepresented. Plaintiff’s alleges: “Defendants affirmatively represented material facts to Plaintiff, including that: (a) Xu/East Star were licensed California auto dealers operating a stable, compliant dealership; (b) Plaintiff’s funds would be used to purchase specific vehicles free of liens for resale, and original certificates of title would be promptly delivered in Plaintiff’s name; (c) vehicles were being quickly sold at a profit, including a purportedly ‘sold’ Porsche 911 and a pending ‘big order’ that would close and return cash; and (d) a sale ‘on or about June 20, 2025’ of a 2025 Porsche 911 Targa GTS (VIN WP0BB2A95SS260073) would fund an ‘August exit.’ ” (Compl., ¶¶ 64, 77.) These allegations lack specificity. Plaintiff lists several statements but fails to attribute them between the Defendants. Plaintiff also relies upon an allegation that: “Zhu and Xu said they had over two years of joint operations, each holding \$1–2 million in inventory, and pitched building a high-end dealership together with Plaintiff. Xu promoted 2–3% per-car margins compounding to ~30% annually, urged Plaintiff to ‘try a few units first,’ and promised clean titles and easy exits.” (Compl., ¶ 26.) Plaintiff does not allege he justifiably relied upon these statements. Finally, Plaintiff alleges “Zhu echoed the message—“safe,” “quick,” “don’t rock the boat”—and urged Plaintiff to stay cooperative to protect the earlier capital and keep his place in future deals.” To be actionable, a negligent misrepresentation must ordinarily be as to past or existing material facts.” (<i>Tarmann v. State Farm Mut. Auto. Ins. Co.</i> (1991) 2 Cal.App.4th 153, 158.) Thus, the allegations related to Zhu’s opinion of the Bentley purchase cannot support a misrepresentation claim. Therefore, the demurrer to the 1st and 3rd causes of action are sustained. “Unless the complaint shows on its face that it is incapable of amendment, denial of leave to amend constitutes an abuse of discretion, irrespective of whether leave to amend is requested or not.” (<i>McDonald v. Sup.Ct.</i> (1986) 180 Cal.App.3d 297, 303-304.) The Complaint does not show from its face it is incapable of being amended. Thus, leave to amend is granted. <u>Concealment/Nondisclosure</u> Plaintiff alleges Defendants concealed “(a) that East Star’s dealer license had expired on or about February 24, 2024; (b) that vehicles were not
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held free and clear for Plaintiff and were subject to liens/UCC encumbrances (e.g., floor-plan claims such as the NextGear seizure of the RX350); (c) that Plaintiff's funds were routed to Xu-controlled conduits (including PingAn International LLC in Oregon) rather than to a licensed California dealer trust/operating account; (d) that Defendants would delete or withhold DocuSign contracts and refuse to provide VIN level purchase orders, floor-plan releases, payoff letters, or original title packets; (e) that Plaintiff-funded vehicles were being rented out without consent; and (f) that the 2025 Porsche 911 Targa was leased, not purchased, rendering the California DMV Vehicle/Vessel Transfer and Reassignment form (REG 262) waved by Xu a sham "proof"; (g) the touted "UCC block" was not an external impediment but, on information and belief, was engineered by Defendants by staging Plaintiff-funded vehicles at the Irvine Coast Motorcars lot to create the appearance of third-party lien issues."

"A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment)." (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40.) "Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as 'between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.' [Citation.]" (*Id.* at 40-41.)

Plaintiff relies upon categories 3 and 4 which require a special relationship. However, Plaintiff has not alleged a special relationship between Plaintiff and Zhu. Plaintiff has alleged Zhu participated in conversations regarding Plaintiff's contractual dealings with Xu and East Star, however, Plaintiff does not allege Zhu was a party to the contract.

Thus, the demurrer to the 2nd cause of action is sustained with leave to amend.

Conversion

The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (*Lee v. Hanley* (2015) 61 Cal. 4th 1225, 1240 [cleaned up].)

Plaintiff has adequately alleged a claim for conversion of the vehicles listed in paragraph 83(b). Plaintiff alleges Defendants including Zhu wrongfully exercised dominion and control over the vehicles and resulting damages. (Compl., ¶¶ 84, 86.)

Zhu's request for heightened specificity in pleading the remaining causes of action are not supported by law. "A cardinal rule of pleading is that only the ultimate facts need be alleged." (*Ludgate Ins. Co. v. Lockheed Martin Corp.* (2000) 82 Cal.App.4th 592, 606.) Plaintiff has pled sufficient ultimate facts.

Thus, the demurrer to the 4th cause of action is overruled.

Breach of Contract

Zhu's demurrer to the breach of contract is disregarded because the breach of contract cause of action is against Xu and East Star only.

Money Had and Received

"A cause of action is stated for money had and received if the defendant is indebted to the plaintiff in a certain sum 'for money had and received by the defendant for the use of the plaintiff.' " (*Schultz v. Harney* (1994) 27 Cal.App.4th 1611, 1623.)

Plaintiff has adequately alleged ultimate facts to support his sixth cause of action for money had and received. Plaintiff alleges Defendants including Zhu are indebted to Plaintiff for \$999,447 for funds to be used for Plaintiff. (Compl., ¶¶ 98-101.)

Thus, the demurrer to the 6th cause of action is overruled.

Unfair Competition

"The scope of section 17200 is broad, encompassing anything that can properly be called a business practice and that at the same time is forbidden by law." (*Linear Technology Corp. v. Applied Materials, Inc.* (2007) 152 Cal.App.4th 115, 133 (cleaned up).) "As a result, to state a claim under the [UCL] one need not plead and prove the elements of a tort. Instead, one need only show that 'members of the public are likely to be deceived.' " (*Ibid.*) "Actions under the UCL are not meant to be substitutes for tort or contract actions. [Citation.] 'Instead, the act provides an equitable means through which both public prosecutors and private individuals can bring suit to prevent unfair business practices and restore money or property to victims of these practices.'" (*Marsh v. Anesthesia Services Medical Group, Inc.* (2011) 200 Cal.App.4th 480, 502.)

Plaintiff has failed to allege members of the public would be deceived.

Thus, the demurrer to the 7th cause of action is sustained with leave to amend.

Aiding and Abetting

California courts have long held that liability for aiding and abetting depends on proof the defendant had actual knowledge of the specific primary wrong the defendant substantially assisted. In *Lomita Land Water Co. v. Robinson* (1908) 154 Cal. 36, (*Lomita*), the California Supreme Court explained this requirement in the course of affirming a judgment against two defendants for aiding and abetting a fraudulent land sale scheme engineered by two others. The court stated, “The words ‘aid and abet’ as thus used have a well understood meaning, and may fairly be construed to imply an intentional participation *with knowledge of the object to be attained*.” Finding the defendants had “actual knowledge of all the facts relative to” the scheme and “knowingly” assisted in its “consummation,” the court concluded they were rightly held liable for aiding and abetting the fraud.

In *Howard v. Superior Court* (1992) 2 Cal.App.4th 745, the court stated that “ ‘[a]iding-abetting focuses on whether a defendant knowingly gave “substantial assistance” to someone who performed wrongful conduct....’ [Citation.] [¶] ... [A]iding and abetting ... necessarily requires a defendant to reach *a conscious decision to participate in tortious activity* for the purpose of assisting another in performing a wrongful act.”

Likewise, *Gerard v. Ross* (1988) 204 Cal.App.3d 968, articulated the knowledge required for aiding and abetting as follows: “In the civil arena, an aider and abettor is called a cotortfeasor. To be held liable as a cotortfeasor, a defendant must have knowledge and intent.... A defendant can be held liable as a cotortfeasor on the basis of acting in concert only if he or she knew that a tort had been, or was to be, committed, and acted *with the intent of facilitating the commission of that tort*.” Of course, a defendant can only aid and abet another's tort if the defendant knows what “that tort” is. As the Supreme Court put it in *Lomita*, the defendant must have acted to aid the primary tortfeasor “with knowledge of the object to be attained.”

(*Casey v. U.S. Bank Nat. Assn.* (2005) 127 Cal.App.4th 1138, 1145–1146.)

Plaintiff’s allegations are sufficient to allege a claim for aiding and abetting Xu and East Star. Plaintiff alleges Zhu knew of Xu and East Star’s fraud and participated in meetings regarding the business, was aware the original titles to vehicles were not being delivered, pressured Plaintiff to continue investing, helped present pitches, and discouraged Plaintiff from divesting. (Compl., ¶ 115.)

		Thus, the demurrer to the 8th cause of action is overruled. <u>Conspiracy</u> A claim for conspiracy requires “ ‘(1) the formation and operation of the conspiracy, (2) the wrongful act or acts done pursuant thereto, and (3) the damage resulting from such act or acts.’ ” (<i>H & M Associates v. City of El Centro</i> (1980) 109 Cal.App.3d 399, 413.) Plaintiff alleges Zhu joined with Xu and East Star to defraud Plaintiff. (Compl., ¶ 121.) As stated above, Zhu participated in the conspiracy. (Compl., ¶¶ 115, 123.) Finally, the acts resulted in Plaintiff being damaged. (Compl., ¶ 125.) Thus, Plaintiff has adequately alleged a conspiracy claim. Thus, the demurrer to the 9th cause of action is overruled. <u>Accounting</u> "[A] cause of action for accounting need only state facts showing the existence of the relationship which requires an accounting and the statement that some balance is due the plaintiff." (<i>Brea v. McGlashan</i> (1934) 3 Cal.App.2d 454, 460.) Plaintiff alleges a sufficient relationship which requires an accounting between Defendants, including Zhu and Plaintiff. (Compl., ¶¶ 129-130.) Plaintiff also alleges some balance is due to himself. (Compl., ¶ 134.) Thus, the demurrer to the 10th cause of action is overruled.
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